NovaTech Enterprises - Q3 2026 Financial & Operational Report

Reporting Period: July 1, 2026 - September 30, 2026 | **Ticker:** NVTE (NASDAQ)

1. Executive Financial Summary

NovaTech Enterprises delivered record operational performance in the third quarter of 2026, driven by rapid customer expansion in our Enterprise AI and Hybrid Cloud divisions. Consolidated quarterly revenue reached **$428.5 million**, representing a **24.8% year-over-year increase** compared to Q3 2025 ($343.3 million). Operating income expanded to **$94.2 million**, delivering an operating margin of **22.0%**.

Financial Metric	Q3 2025	Q3 2026	YoY Change (%)
Total Revenue	$343.3M	$428.5M	+24.8%
Cloud Platform Revenue	$182.1M	$254.6M	+39.8%
Gross Profit Margin	68.4%	72.1%	+370 bps
Operating Income	$65.2M	$94.2M	+44.5%
Free Cash Flow	$51.0M	$78.4M	+53.7%
Net Cash & Equivalents	$612.0M	$845.2M	+38.1%

2. Divisional Segment Analysis

Cloud & AI Infrastructure: Revenue rose to $254.6 million, accounting for 59.4% of total net sales. Annual recurring revenue (ARR) concluded at $1.02 billion. Customer Net Retention Rate (NRR) remained high at 128%.

Cybersecurity & Compliance: Delivered $112.4 million in net revenue, up 11.2% year-over-year. The new Zero-Trust Identity Guard product onboarded 142 Fortune 500 customers.

Professional Services: Recorded $61.5 million with an intentional transition toward certified third-party system integrator partnerships.

3. SLA Compliance & Reliability Standards

During the third quarter, the NovaTech Cloud maintained a global uptime availability of **99.994%** across all 18 multi-tenant regions, exceeding the contractual SLA threshold of 99.99%. Mean Time to Detect (MTTD) decreased from 4.2 minutes to **1.8 minutes**, and Mean Time to Recovery (MTTR) averaged **11.4 minutes**.

4. Fiscal Year 2026 Full-Year Guidance

For the full fiscal year ending December 31, 2026, NovaTech leadership projects:
• Total consolidated revenue between **$1.72 billion and $1.76 billion** (previously $1.68B - $1.71B).
• Non-GAAP Operating Margin between **22.5% and 23.5%**.
• Capital expenditures (CapEx) allocated at approximately **$110 million** dedicated to data center expansion and GPU clusters.